

\* Unit - 4 \*

Market - Structure

Market

Market Include a particular area in which a large number of buyers & sellers are present. The market in economics is simply the network of dealings in any factor or product between buyers & sellers.

In other words we can say that market is the entire area in which buyers & sellers of a particular commodity are spread & have a close contact with each other so that the price of the particular commodity have the tendency of uniformity in the entire area.

That means market is the particular place which have buyers & sellers & they are much related with each other. (contains heatly competition.)

Characteristics of Market :-

- (1) Buyers & Sellers
- (2) Price
- (3) Perfect competition
- (4) One commodity
- (5) One region.

# Classification of Market

(1) Market on the basis of area -

- (i) Local market
- (ii) Regional market (Deals of Particular Product)
- (iii) National market
- (iv) International market.

(2) Market on the basis of time - (Share market)

- (i) Very short period market (1 to 2 hr  $\rightarrow$  sell & purchase)
- (ii) Short period market (6 ~~hours~~  $\rightarrow$ )
- (iii) long period market (IPO's  $\rightarrow$  3 days)
- (iv) Very long period market (SIP's  $\rightarrow$  months/yearly)

(3) Market on the basis of Competition -

- (i) Perfect market (buyers/seller have knowledge about market & healthy competition)
- (ii) Imperfect market (less knowledge or unhealthy competition)

(4) Market on the basis of function -

- (i) Mixed market or general market
- (ii) Specialized market
- (iii) Marketing by samples
- (iv) Marketing by grade

(5) Market on the basis of legality -

- (i) Open market (Fair market)
- (ii) Black market

## \* Market Structure

### (4) Oligopoly Market:-

Oligopoly is that market structure in which there are few seller selling a complimentary standardized product. each of them producing a large enough proportion of the total output. so that the changes in price or output of any single seller will have an affect on the price that can be obtained and the output that can be sold by the competitors.

That means oligopoly is those market condition in which a few sellers are selling such goods, which are good substitute from one another.

#### \* Characteristics of oligopoly -

- Few sellers available in the market
- Dealing with standardized product
- Dealing with differentiated product
- Advertisement & selling cost.
- Restriction on the entry & exit points of the firm
- ~~Not~~ Interdependent.

Ex Petrol industry, Gas industry, Steel industry

## Types of oligopoly market structure:-

- (1) Differentiated and pure oligopoly.  
(<sup>car/automobile</sup> <sup>same product → cement/steel</sup>)
- (2) Collusive oligopoly & independent oligopoly.
  - Perfect oligopoly. → Costly pricing.
  - Imperfect oligopoly. → Premonopolized pricing.

8)

## \* Price & output Determination under oligopoly

In this there are two conditions -

- (a) Price Leadership by low cost firm.
- (b) Price Leadership by dominant firm.

## ① Effect of oligopoly - (Essential factors) -

- Knowledge of competitor reaction.
- Knowledge of industry demand & supply.
- Honesty of the followers.
- Risk bearing capacity & price war.
- Better quality.
- Importance for long term profit.
- Price change according to the demand.

## Advantages of oligopoly -

- Price stability.
- Strong base for price determination.
- Depend on the trade cycle.
- Sometime low price war.
- Government interference.

## (2) Perfect competition :-

Perfect competition is that market condition in which there are large number of buyers & sellers for a commodity & there is too much competition among them. So that only one price exists in the whole market.

A perfect competition is that market condition when the all potential seller & buyers aware of the price at which transaction take place & all of the offers made by other sellers & by buyers and when any buyer can purchase from any seller under such conditions the price of commodity will tends to be same all over the market. This is called perfect competition.

### Characteristics of perfect competition

- Large number of buyers & sellers
- Homogeneous products.
- Free entry & exit of firm.
- Uniformity in price
- Independent decisions.
- Absence of transportation cost.
- Normal profit in long run.
- Good factors of production.

Ex Rate of Flour / Sugar / General ration, etc

### (3) Monopoly Market :-

Monopoly is that market condition in which few seller available in the market. Monopoly define the particular situation in which a single firm produce a commodity of firm which there are no close substitute.

In simple words we can say that monopoly is that market condition in which there are only one seller of a commodity & there is no close substitute available for commodity in the whole market.

#### \* Characteristics of Monopoly -

- Single sellers & single producer.
- Lack of close substitute.
- Effective check & exit of the firm.
- More buyers
- Abnormal profit in the long run.

Ex Like Indian railways

#### \* Reason to rise monopoly

- Economic of scale.
- Legal protection.
- Ignorance of the consumer.
- Personal skills.
- Import & export policy of the government.
- Cut throat competition

#### (4) Monopolistic Market :-

##### Control of monopoly -

- Entry monopoly lost
- Price & production control.
- Society should ignore monopolist.
- Nationalize government ownership.
- Establishment of consumer association.
- Establishment of cooperative institution.

#### (4) Monopolistic Market :-

Monopolistic market is that market situation in which there are many sellers of a particular product but the product of each seller is in some way differentiated in the mind of consumers from the product of every other seller.

Monopolistic market is found in the industry where there is a large number of small sellers, selling differentiated but close substitute product.

##### Characteristics of Monopolistic market -

- Many sellers.
- Product differentiation
- Freedom of entry & exit of firm.
- Non-price competition.
- Specific facilities provided to the consumer.
- Highly elastic demand of the firm.

## Assignment - 4

## [Unit - 4]

Q.1

Ans

Explain Perfect competition & pure competition;  
Perfect competition :-

A Market structure where:

- Large number of buyers & sellers
- Homogeneous product
- Free entry & exit.
- Perfect knowledge
- Firms are price takers
- Demand curve is perfectly elastic.

Perfect competition is an ideal market structure in which no individual buyers or seller has any control over the price of the product.

Pure Competition:-

Pure competition is smaller but less strict than perfect competition.

It includes only two main features -

Large number of sellers.

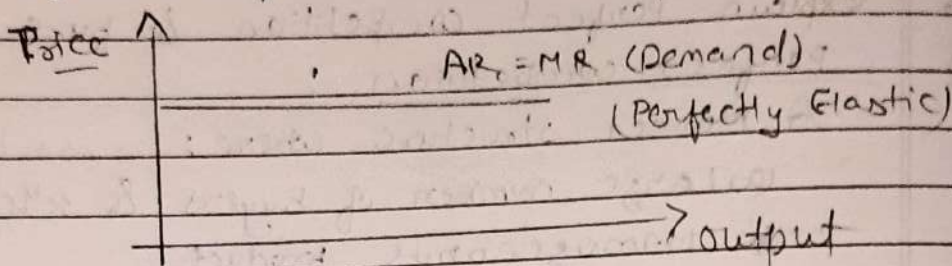
Homogeneous product.

Free entry / exit or perfect knowledge is not mandatory.

Difference -

| Basis        | Perfect Competition | Pure Competition  |
|--------------|---------------------|-------------------|
| • Entry/Exit | Free                | Not Necessary     |
| • Knowledge  | Perfect             | May be imperfect. |
| • Mobility   | Perfect             | Not required      |
| • Nature     | Ideal, theoretical  | Realistic         |

## Perfect competition firm's Demand -



The firm can sell any quantity at the fixed market price.

Q2 What do you understand by firm & industry? Explain approaches/Methods with the suitable diagrams.

Ans Firm: A firm is a single business unit that uses inputs to produce goods/services.

Ex A single bakery, a shoe company.

Industry: Industry is a group of firms producing similar goods.

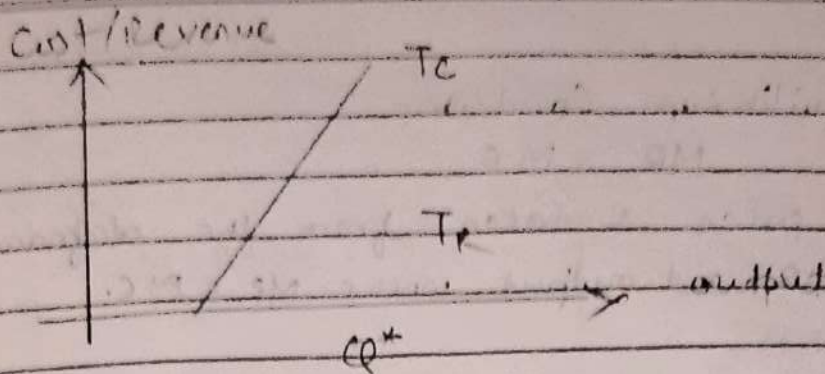
Ex All cement companies from the cement industry.

Approaches to determine equilibrium-

a) Total Revenue - Total cost Approach

fine equilibrium occurs where!

Profit =  $TR - TC$  is maximum.

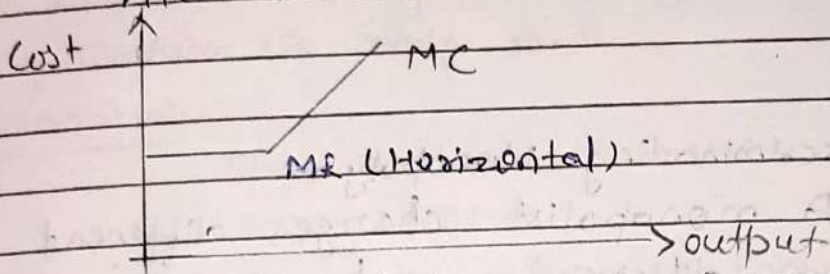


At  $Q^*$ , distance between TR curve & TC curve is maximum  $\rightarrow$  maximum profit.

### (B) Marginal Revenue - Marginal cost Approach

Condition for equilibrium:

$MR = MC$  & MC must cut MR from Below



The firm produces  $Q^*$  units where  $MR = MC$

Q3 Explain - Price and output determination under monopoly & discriminating Monopoly with suitable diagram.

Ans Monopoly

Monopoly is a market with:-

One seller

No close substitutes

High entry barriers

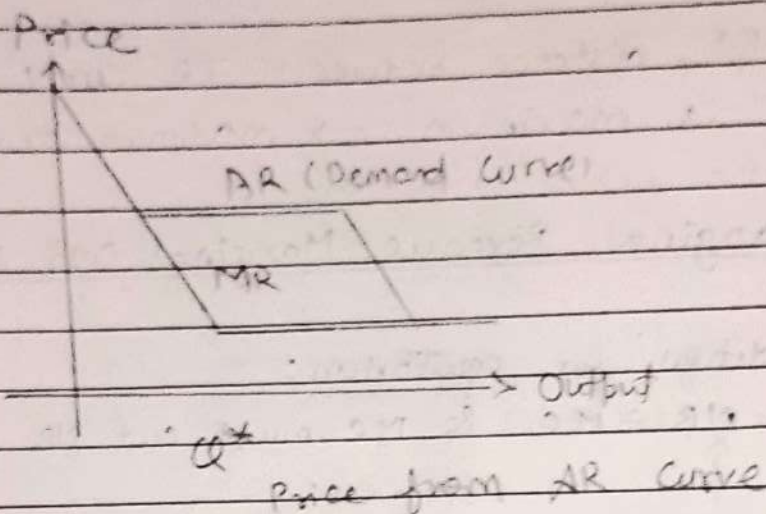
Downward-sloping demand curve.

Monopolistic is a price maker, not a price taker.

## Equilibrium Condition-

$$MR = MC$$

price is taken from the demand curve (AR) at output where  $MR = MC$ .



## Discriminating Monopoly-

A monopolist charges different prices from different customers for the same product.

Ex Movie tickets (Students vs adult)

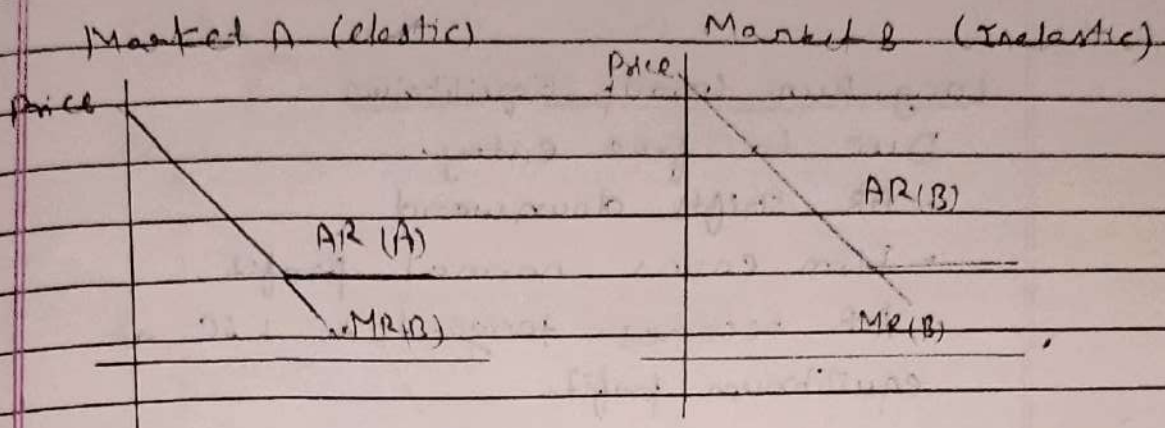
Electricity (domestic vs industrial)

## Types

First degree - Charges maximum price each consumer can pay.

Second degree - Different prices for different quantities.

Third degree - Different prices in different markets.



Monopolistic sets  $MR_1 = MR_2 = MC$  to maximize profit.

Q4 Explain price & output determination under monopolistic competition also discuss group equilibrium in this.

Ans Monopolistic

It is a structure where:-

- Many sellers
- Product differentiation (brands)
- Some product over price
- Selling cost (advertising)
- Free entry/exit.

ex Restaurants, clothing brands, cosmetics.

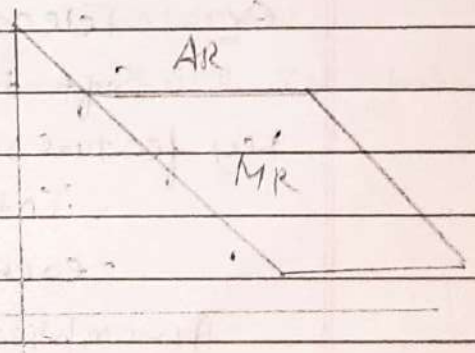
Short-Run Equilibrium:-

Firm may earn:-

- Supernormal profit
- Normal profit

• Loss

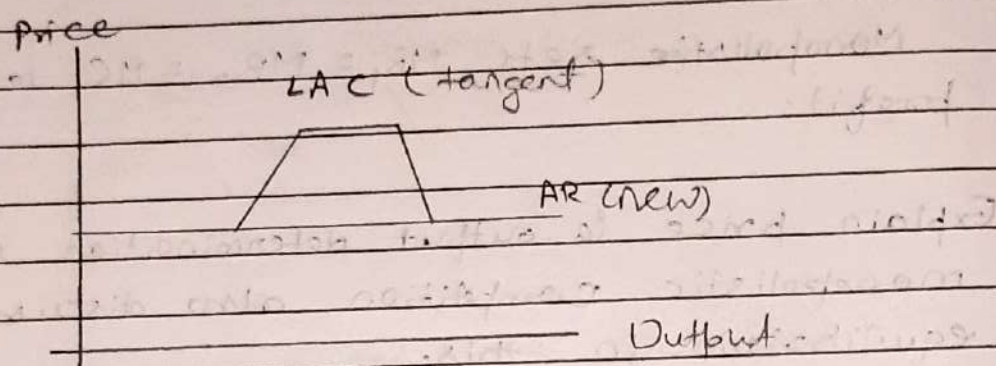
Condition  $MR = MC$



### Long-Run Group Equilibrium

Due to free entry.

- AR shifts downward
- Firm earns normal profit
- AR becomes tangent to LAC at equilibrium profit.



Firm earns zero economic profit in long-run.

Q5 Write a short note on -

- (a) Price and output determination under oligopoly with suitable diagrams
- (b) Independent pricing & price rigidity.

Ans

(a) Oligopoly = few firms dominate market

Ex Telecom (Jio, Airtel, VI)

Soft drinks (Coke, Pepsi)

Key features -

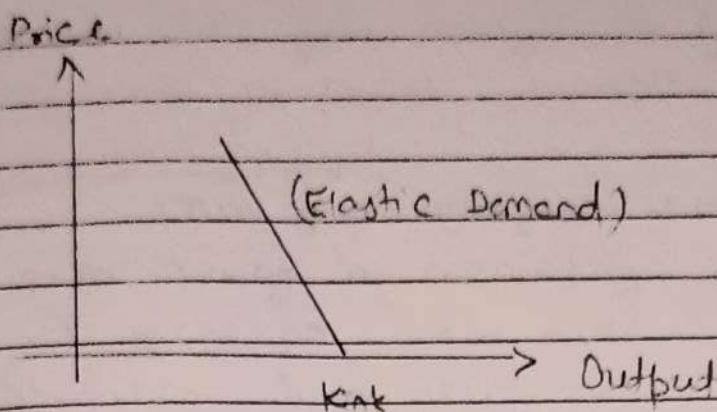
- Interdependence
- each firm's decision affects the other.

Assumptions -

If firm raises prices  $\rightarrow$  rivals will not follow.

$\rightarrow$  demand becomes elastic.

If firm reduces price  $\rightarrow$  rivals will follow  
 $\rightarrow$  demand becomes elastic



Gap in MR curve  $\rightarrow$  price rigidity.

## (b) Independent Pricing & Price Rigidity

In independent Pricing, each firm sets its own price without coordinating with ~~more~~ rivals.  
 Occurs when -

- Firms sell differentiated products.
- Brand loyalty exists.

ex Smartphones (Apple, Samsung)

### Price Rigidity

Firms avoid changing prices because -

- Fear of price war
- Risk of price ~~or~~ losing customers.
- Rivals may not follow price rise but will follow price cut.

